

Uph(ol)d)ing Customs



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“There is no reason why customs duties should be applied to products which are just not manufactured indigenously”

The Indian government recently announced its discovery of the fact that over 80 per cent of cell phone users in India are using instruments that were purchased from the gray market.

While this might be a surprise to some, it isn't exactly news. Every major metro has its own version of the 'smugglers arcade'—a Palika Bazaar in Delhi or a Heera Panna in Mumbai—where people flock to buy anything from the latest Nokia handset to the PlayStation 2 for a reasonable price.

And this also holds true for the computer industry in India. The difference in the price of a product in the US and here is considerable. The main reason for the differential obviously is the customs duties levied on products that are imported into India. A handheld computer that costs a relatively affordable Rs 8,000 in Singapore ends up costing you about Rs 15,000 by the time it arrives on our shores.

Is it any surprise then that there exists a thriving gray market for digital devices? After all, the alternative is to settle for something that is older or lacks features compared to another that we would prefer. This has also resulted in the Indian consumers having to accept, in some cases, obsolete technology products that do not find markets in other parts of the world.

The initial purpose of customs duties was to protect the fledgling Indian industry and create an environment in which it could grow. While there are still instances in which such a philosophy makes sense, globalisation means that in some cases it has outlived its purpose.

Eliminating customs duties might not make sense for products like desktop PCs because there exists a thriving industry of local assemblers and manufacturers, but there is no reason that the same rule be applied to components like processors and graphics cards or other products like digital cameras, which are just not manufactured indigenously. The likelihood of an Indian manufacturer deciding to develop a processor that takes on Intel's best is extremely remote.

In the current context, it really makes sense for the government to completely eliminate customs duties for products or components that are not being manufactured in India. This would eliminate the need for the existence of the gray market and will also help us get more value for the rupee that we spend.

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